REPUBLIC OF THE PHILIPPINES
TARIFF COMMISSION

BRIEFER:
REPUBLIC ACT (RA) NO. 8751 ON THE IMPOSITION OF COUNTERVAILING DUTIES (SECTION 713 OF RA NO. 10863)

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SUBSIDIES refers to any specific assistance provided directly or indirectly by the government of the country of export or origin in respect of the product imported into the Philippines, which confers a benefit to the foreign exporter or producer of said product. There are three types of subsidies, as follows:

NON-ACTIONABLE SUBSIDIES OR "GREEN" SUBSIDIES

Subsidies protected from countervailing action

ACTIONABLE SUBSIDIES OR "YELLOW" SUBSIDIES

Specific subsidies which are limited to certain enterprises or industries

PROHIBITED SUBSIDIES OR "RED" SUBSIDIES

Subsidies contingent on export performance or the use of domestic over imported goods

SUBSIDY AND COUNTERVAILING MEASURE

A trade counter-measure adopted to offset specific foreign subsidies that cause or threaten material injury to a domestic industry, or materially retard its growth

Republic Act (RA) No. 8751 was signed on 07 August 1999 and took effect on 31 August 1999. Its provisions were adopted in Section 713 of RA No. 10863, or the "*Customs Modernization and Tariff Act*".

WHO MAY FILE A PETITION FOR COUNTERVAILING ACTION?

Any natural or juridical person representing a domestic industry may file a verified petition with the DA (agricultural goods) or the DTI (industrial products).

In special circumstances, the Secretary of DA or DTI may initiate a countervailing investigation without having received an application from a domestic industry if there is sufficient evidence to justify the initiation.

ROLE OF THE TARIFF COMMISSION IN SUBSIDIES AND COUNTERVAILING INVESTIGATIONS

Conducts formal investigations of the countervailing cases endorsed by the DA (for agricultural goods) or the DTI (for industrial products) following positive preliminary findings

FILING FEES

TC's schedule of fees and charges is prescribed in **Office Memorandum No. 18-010**.

Filing Fee	PHP 40,000.00
Legal Research Fund	PHP 400.00

ELEMENTS FOR THE IMPOSITION OF A COUNTERVAILING MEASURE

In a countervailing petition, all four elements must be established.

LIKE PRODUCT

Goods that are identical, have characteristics closely resembling the product under consideration or domestically produced substitutes

SUBSIDY

Any financial assistance extended to the production, manufacture, carriage, or export of goods

INJURY

Refers to material injury or threat thereof to a domestic industry, or the material retardation of the establishment of a domestic industry

CAUSAL LINK

Refers to the material injury suffered by the domestic industry is the direct result of the importation of the subsidized product

Resources

TC Website
www.tariffcommission.gov.ph

TC Citizen's Charter
Detailed checklist and step-by-step procedures available on the TC website

Commission Order No. 2021-03
Rules of Procedure for the Conduct of Formal Investigations Pursuant to Republic Act No. 8751

1. What are subsidies?

A subsidy refers to any specific assistance (*e.g.*, financial contribution, income or price support schemes) provided directly or indirectly by the government of the country of export or origin in respect of the product imported into the Philippines, which confers a benefit to the foreign exporter or producer of said product. Examples of financial contributions are grants, soft loans, guarantees and certain equity infusions, tax credits, and goods and services provided by governments.

There are three types of subsidies, as follows:

a. *Non-actionable subsidies or "green" subsidies* - refer to subsidies protected from countervailing action either because they are considered to be of particular value and not to be discouraged, or because they are considered to have no, or at most minimal, trade-distorting effects or production effects;

b. *Actionable subsidies or "yellow" subsidies* – refer to specific subsidies, i.e., subsidies limited to an enterprise or industry, or to a group of enterprises or industries; a subsidy can be limited to certain enterprises or industries by being available only in particular regions of a country; all export related subsidies and subsidies related to the use of domestic goods over imported goods are specific; subsidies can also be specific if they are provided in practice to only certain enterprises or industries even though the law may not explicitly limit their application in such a manner; and

c. *Prohibited subsidies or "red" subsidies* - include export subsidies, i.e., those that are contingent on export performance, and subsidies that are contingent on the use of domestic over imported goods; an importing country alleging this kind of subsidy can avail of remedy measures by bringing the matter before the World Trade Organization Dispute Settlement Body for redress.

2. What is a subsidized import/product?

A subsidized import/product refers to any product which is granted, directly or indirectly by the government in the country of export or origin, any kind or form of specific subsidy upon the exportation or manufacture of such product, and which is causing or is threatening to cause material injury to a domestic industry, or is materially retarding the growth or preventing the establishment of a domestic industry producing the like product.

3. What is a subsidy and countervailing measure?

A subsidy and countervailing measure is a trade counter-measure adopted by governments to offset any specific subsidy given to exporters or manufacturers of the subsidized product, and the importation of such subsidized product is causing or is threatening to cause material injury to a domestic industry, or is materially retarding the growth or preventing the establishment of a domestic industry.

4. What is the domestic law on the application of countervailing measures?

Republic Act (RA) No. 8751, otherwise known as "*An Act Strengthening the Mechanisms for the Imposition of Countervailing Duties On Imported Subsidized Products, Commodities or Articles of Commerce In Order to Protect Domestic Industries from Unfair Trade Competition, Amending for the Purpose Section 302, Part 2, Title II, Book I of Presidential Decree No. 1464, Otherwise Known As the Tariff and Customs Code of the Philippines, As Amended*, provides protection to a domestic industry which is being injured, or is likely to be injured, by subsidized products imported into or sold in the Philippines.

RA No. 8751 was signed on 07 August 1999 and took effect on 31 August 1999. Its provisions were adopted in Section 713 of RA No. 10863, or the "*Customs Modernization and Tariff Act*".

5. What are the elements for the imposition of a countervailing measure?

There are four (4) elements or factors which must be considered before a countervailing duty may be imposed, namely:

a. *Like Product* - product produced by the domestic industry which is identical or alike in all respects to the article under consideration, or in the absence of such a product, another product which, although not alike in all respects, has characteristics closely resembling those of the product under consideration;

b. *Subsidy* - any financial assistance extended to the production, manufacture, carriage, or export of goods;

c. *Injury* - material injury to a domestic industry, threat of material injury or material retardation of the growth, or the prevention of the establishment, of a domestic industry. Injury test must be based on positive evidence and must involve an objective examination of both (a) the volume of the subsidized imports and the effect of subsidized imports on the prices of like product in the domestic market, and (b) the consequent impact of these imports on domestic producers of such products; and

d. *Causal Link* **-** the material injury suffered by the domestic industry is the direct result of the importation of the subsidized product.

In a countervailing petition, all four elements must be established.

6. Who may file a petition for countervailing action?

Any person, whether natural or juridical, belonging to or representing a domestic industry may file with the Department of Agriculture (DA), for agricultural products, or with the Department of Trade and Industry (DTI), for industrial goods, a verified petition requesting the imposition of a countervailing duty to counteract a subsidization which is causing or threatening to cause material injury to a domestic industry.

In special circumstances, the Secretary of the DA or the DTI may initiate a countervailing investigation without having received a written application by or on behalf of a domestic industry, but shall proceed only if he/she has sufficient evidence of subsidization, injury, and a causal link to justify the initiation of the investigation.

7. What is the role of the Tariff Commission in subsidies and countervailing investigations?

The Tariff Commission (TC) conducts formal investigations of the countervailing cases endorsed to it by the DA (for agricultural goods) or the DTI (for industrial products). To note, RA No. 8751 provides that the DA and the DTI shall undertake a preliminary determination and shall endorse the case to the TC for formal investigation when their preliminary findings are positive.

The TC submits a Report to the Secretary of the DA or the DTI containing its final and executory decisions on petitions for the imposition of countervailing measures. In case of affirmative findings, the concerned Secretary issues a Department Order imposing a definitive countervailing duty.

8. Are there fees to be paid by petitioners in the formal investigation by the TC of a countervailing case?

The TC's schedule of fees and charges is prescribed in Office Memorandum No. 18-010. Formal investigations on petitions for the imposition of countervailing measure are subject to a Filing Fee of Forty Thousand Pesos (PHP 40,000.00) and Legal Research Fund Fee of Four Hundred Pesos (PHP 400.00) per case.

9. What is the timetable for the completion of a formal investigation by the Commission?

The TC shall submit within one hundred twenty (120) calendar days from receipt of the case its Final Report of Findings and Decision to the Secretary of Trade and Industry (in the case of industrial goods) or to the Secretary of Agriculture (in the case of agricultural products), for the issuance of the appropriate Department Order.

10. How is a countervailing duty investigation conducted?

The TC's rules of procedure in the conduct of a formal investigation in a countervailing case are contained in Commission Order No. 2021-03 entitled "*Rules of Procedure for the Conduct of Formal Investigations Pursuant to Republic Act No. 8751*". The checklist of requirements and the step-by-step procedure can also be found in the TC Citizen's Charter. The Order and the Citizen's Charter are on the TC website.